

Taxing pollution



When the slurry by-product from a group of mines reduces the fertility of the surrounding soil so that adjacent nurseries produce less flowers, we have an 'externality' (see [Externalities](#)). The slurry is a cost to society because it lowers flower production and the profit of the nurseries. However, the mines don't take this into account: they end up producing 'too much' coal and pollution. The government could compel the mines to produce less pollution. Alternatively, they could tax pollution, charging the mines for every tonne of slurry produced.

Such a pollution tax is set at a level that takes into account all the costs and benefits to society. It makes the mines face the social cost of their activities where market prices didn't, in a sense 'internalizing' the externality. Taxes allow the polluters to respond in various ways: some may find it easy to pollute less, but for others this could prove very costly, so they reduce it less

and pay more tax. Overall, this can lead to an efficient distribution of pollution-reduction efforts among the mines.